Horniman Horticulture

Case Study

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Q1- What is going right with the business?

Exceptional Revenue Growth

Achieved **15.5% revenue growth** in 2015, vastly outperforming the industry benchmark of -1.8%.

Strategic Product Pivot

Bob successfully **shifted the product** mix toward "instant landscape" mature plants. Customers are willing to pay **premium prices** for these products.

Superior Profitability

The net profit margin rose from **3.1%** in 2013 **to 5.8%** in 2015 , more than **doubling** the industry average of 2.8%.

Effective Cost Control

Despite the growth, Bob and Maggie have kept **control over costs**. This is evidenced by their **operating margin** (**9.5%**), which is nearly 2% points higher than the industry average.

Q1- What is concerning about the business?

Cash Falloff

The cash balance dropped from **120,1K** in 2012 to only **9,4K** at the end of 2015. This is well below Maggie's safety target of **8% of revenue** (~83,9K).

Extreme Inventory Risk

With **476.3 inventory days** , capital is "grounded" for over a year before a sale occurs. Since plants take 2 to 5 years to mature, the company faces massive exposure to weather or market shifts.

Inefficient Collections (Receivables)

Customers now take **50.9 days** to pay, compared to the industry average of **21.8 days**. By easing credit terms to drive sales, Bob is effectively acting as a bank for his customers.

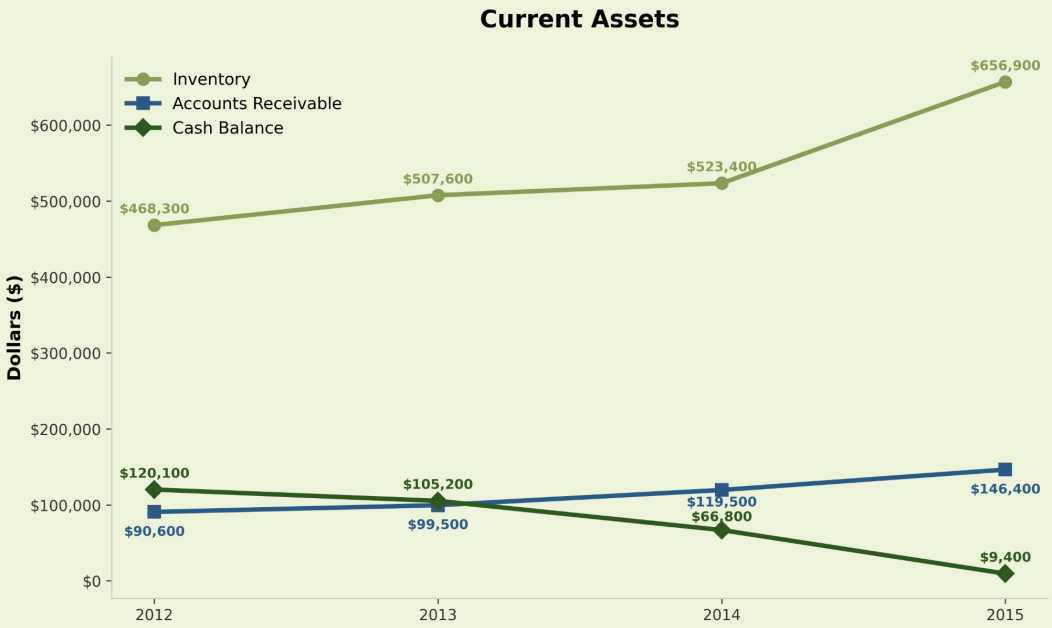
The Funding Gap

Rapid expansion is consuming cash faster than it is being generated. By refusing to use debt, the firm has no "safety net" for its daily bills.

Illiquidity Risk

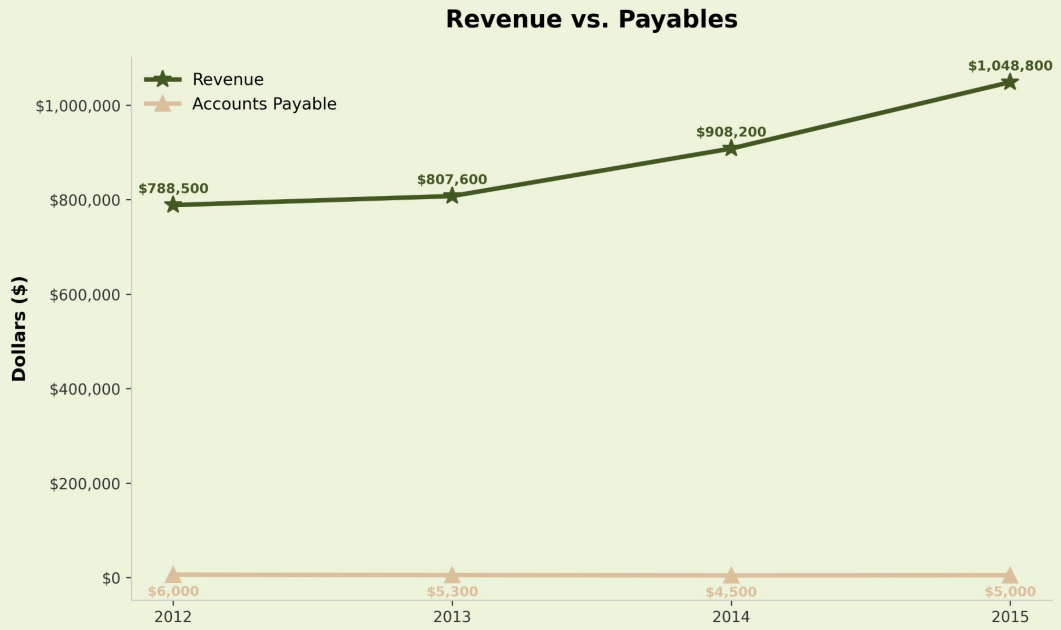
Cash currently represents **less than 1% of revenue**.

Q2- Erosion of the cash balance



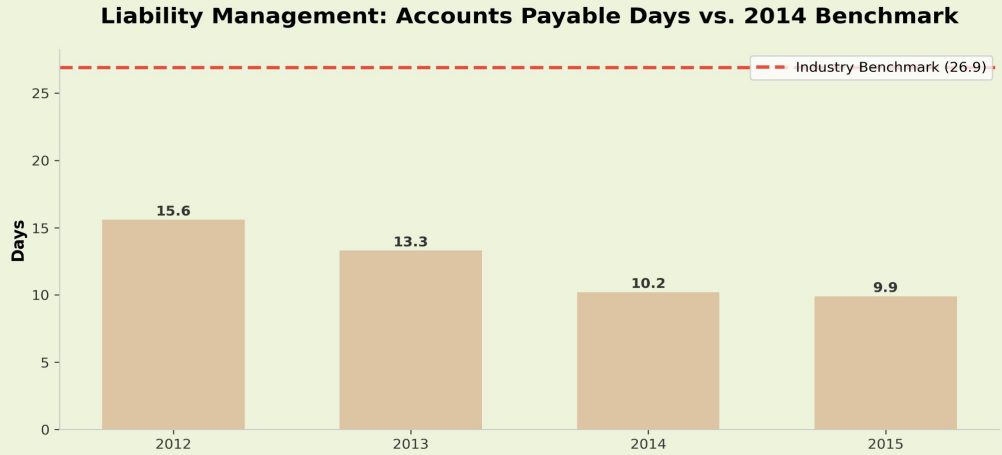
- **Longer Growing Cycles:** Shifting to mature "instant landscape" plants ties up cash in the fields for 2 to 5 years.
- **Expanding Variety:** The number of plant species grown increased by over 40%.
- **Slower Collections:** Offering better credit terms to small nurseries boosted sales but delayed incoming cash.

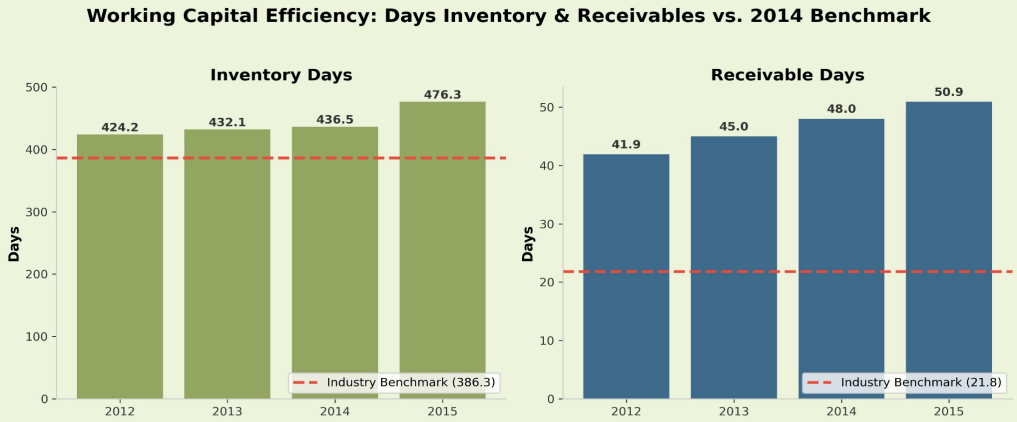
Q2- Erosion of the cash balance



- **Rapid Supplier Payments:** Paying suppliers within 10 days to capture a 2% discount drains cash instantly.
- **Debt Aversion:** Avoiding bank loans means the company is self-funding all of its growth and capital expenditures.
- **The Growth Paradox:** Operating profits are up, but the rapid expansion is eating all available liquidity.

Q2- Erosion of the cash balance





- **Extended Inventory Lifecycle:** Inventory days reached 476.3, significantly exceeding the industry average of 386.3 days.
- **Elevated Collection Periods:** Receivable days stand at 50.9, compared to the industry norm of 21.8 days.
- **Accelerated Supplier Payments:** Payable days are at 9.9, prematurely utilizing cash compared to the standard 26.9-day industry credit cycle.

Q2- Erosion of the cash balance

Possible Solution

- **Stop Paying Suppliers So Fast** - By giving up on the payment within 10 days to get the 2% discount, a more delayed payment would decrease the cash drain, possibly avoiding a bank loan.

- **Get a Short-Term Line of Credit** - Self-funding is no longer sustainable, and Bob is expecting revenue to grow by a massive 30% in 2016, so instead of using their own cash, a short-term credit line would suffice while they wait for customers to pay.

- **Rebalance the Product Mix** - Shift future plantings toward a healthier balance of quick-turnover plants, such as annual growing plants, alongside more mature plants to smooth out the cash cycle.

Q3 - Company Growth

The company is experiencing positive growth, with revenue projected to increase 30% in 2016, building on the strong performance in 2015. This growth is driven by several factors:

- **Increased Demand:**
  - Orders from smaller nurseries have increased due to improved credit terms and rising demand for premium mature plants
  - This shift in product focus has led to higher profit margins, and continued demand could further drive revenue growth in 2016.

- **Expansion Plans:**
  - The acquisition of a neighboring 12-acre plot will enable expanded inventory and additional plant varieties to meet growing customer demand.
  - However, the $75,000 capital investment required may temporarily strain cash flow as resources are allocated to this growth opportunity

- **Improved Margins:**
  - The company's strong cost management has improved profit margins from 3.1% in 2013 to 5.8% in 2015, reflecting better control over inventory and labor expenses.
  - While this strengthens profitability, this growth will actually decrease cash flow stability because the cash needed to fund new inventory and receivables exceeds the profits generated in the short term.

Q3 - Challenges

Although the growth for 2016 is strong, there are some challenges that must be addressed:

- **Concerns about cash reserves:**
  - Company's cash balance dropped below $10,000 by the end of 2015, far below the target of 8% of annual revenue
  - Operating with such low cash reserves could lead to liquidity issues if unexpected events disrupt production or sales
  - Insufficient cash reserves may hinder the company's ability to meet short-term obligation and capitalize on potential growth

- **Capital Expenditures and Reluctance to Take on Debt:**
  - The planned $75,000 purchase of the 12-acre plot is a significant capital expenditure
  - Maggie's reluctance to incur debt further complicates financing the purchase, with no clear solution to fund this investment without depleting cash reserves
  - With mortgage interest rates at 6.5%, taking on debt to finance the land could increase costs

Q3 - Alternatives

2016 will likely bring the company to a breaking point. While the business is highly profitable , its liquidity is being consumed by a timing gap: cash is paid out for labor and materials immediately , but remains at hold for an average of 476.3 days before sale , followed by 50.9 days until collection.

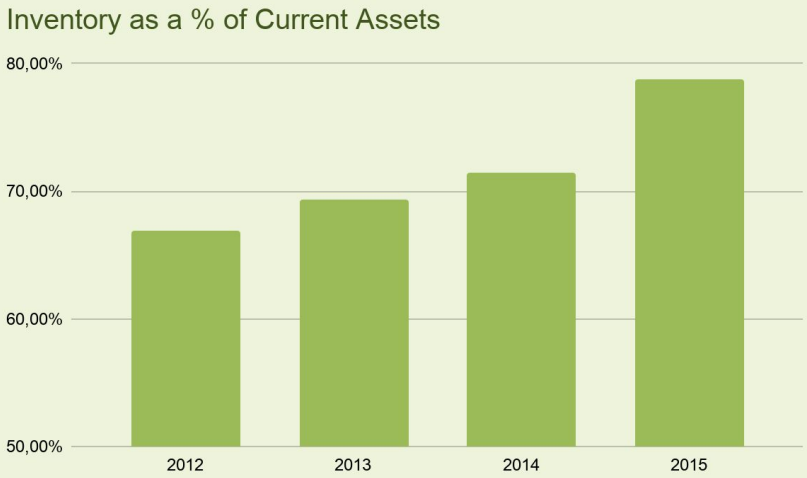
- **External Financing:**
  - Reconsider taking on debt to finance the $75,000 land purchase and other investments
  - Explore other options like equity investments or a line of credit

- **Improved Inventory Management:**
  - Reduce inventory turnover time and optimize the cash conversion cycle
  - Free up cash tied up in unsold inventory to improve liquidity

- **Negotiating Supplier Payment Terms:**
  - Extend payment terms with suppliers to hold cash for longer periods, having cash for more 17 days, if the 26.9 days benchmark is met
  - Stabilize cash flow by delaying payments and enhancing financial flexibility during growth periods

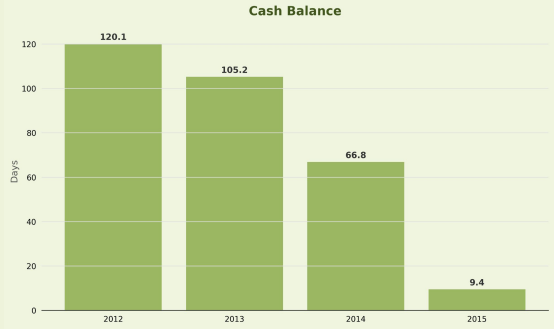
- **Accelerating Receivables:**
  - Tighten credit terms and offer discount for early payments
  - Proactively follow up with customers to reduce receivable days and accelerate cash inflows

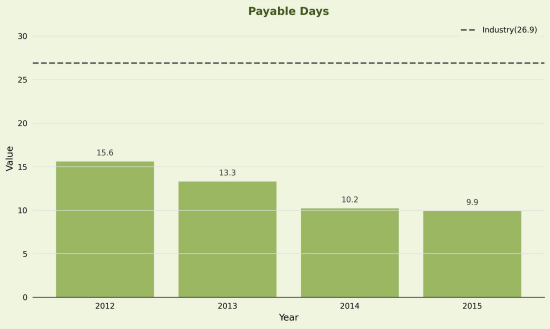
Q4 - Maggie's Accounts Payable Policy

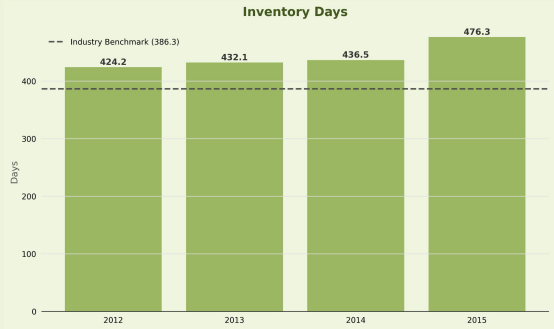


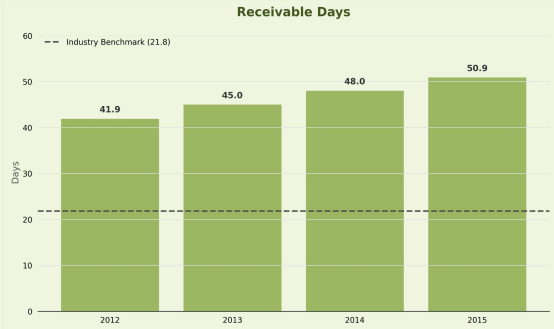
- **Debt Averse Financing:** Maggie avoids bank borrowing to cover expenses due to inventory risk.
- **Rising Inventory Intensity:** By 2015, inventory accounted for 78.80% of all current assets, up from 69.91% in 2012. This concentration means that $650,000 of the company's short-term value is currently tied up in physical stock.

Q4 - Maggie's Accounts Payable Policy









- **Structural Cash Deficit**: With Receivable Days (50.9) significantly exceeding Payable Days (9.9), the company is suffering from a widening cash conversion cycle.

- **Depleting Liquidity Reserves:** By relying exclusively on self-financing while maintaining a low Payable Days policy, the company is creating a critical illiquidity risk.

Q4 - Maggie's Accounts Payable Policy

Conclusion

Ultimately, Maggie's restrictive accounts payable policy is counterproductive to the firm's long-term stability. While her aversion to inventory risk and debt is understandable, the refusal to utilize credit financing has become a significant inhibitor of growth rather than a safeguard. This approach has systematically eroded the cash balance, creating a structural deficit where capital exits the business for supplier payments far more rapidly than it is recovered through collections. Ironically, by avoiding bank loans to maintain independence, Maggie has exposed the company to the exact catastrophe she sought to avoid: a critical state of illiquidity that threatens the very survival of the enterprise.

Q5 - Proceed with the 12-acre purchase?

NO. The company cannot afford the expansion.

- **The Growth Paradox:** Despite an impressive 15.5% revenue growth in 2015 , the cash balance has collapsed from $120.1k (2012) to just $9.4k (2015).
- **The Math Doesn't Add Up:** The new land requires $75k in Capital Expenditure. With only $9.4k in the bank and Maggie's strict "no-debt" policy, buying the land guarantees a **liquidity crisis**.
- **The Inventory Trap:** Plants take 2-5 years to mature. Currently, cash is tied up in inventory for 476 days. Expanding land means burying even more cash today for returns that are **years away**.

Q5 - The Root Cause & Action Plan

Inefficient Financial Policies:

- **Paying too early:** Supplier payables are at **9.9 days**, while the industry benchmark is 26.9 days. Cash is leaving too fast.
- **Collecting too late:** Customer receivables are at **50.9 days**, more than double the 21.8 benchmark. Cash is entering too slow.

Recommendation for Bob & Maggie:

1. **Delay** the 12-acre land purchase.
2. **Renegotiate terms:** Stretch payables to 30 days (forget the 2% discount) and enforce stricter customer credit terms.
3. **Secure** a short-term bank credit line to stabilize current daily operations before attempting physical expansion.

Conclusion

Operational excellence creates value, but disciplined financial management ensures survival.
As seen at Horniman, rising revenue and margins can mask a growth trap where profitability does not equal liquidity. In industries with long maturity cycles, finance must bridge the timing gap between immediate production costs and delayed cash collections. When expansion outpaces cash recovery, a firm can "grow broke" as capital remains frozen in inventory and receivables.
Ultimately, sustainable success requires balancing aggressive growth with a focus on liquidity to ensure that operational ambitions never exceed the company’s actual solvency.